DEFINITION

In economic terms, anything used to cut down the risk is known as ***insurance***. But in familiar terms, insurance is provided by an insurance company which covers a person's life (called life segment) or covers loss of assets, property (called non-life or general segment). The insurance policies are purchased at fixed premiums.

INSURANCE INDUSTRY

LIC

The life insurance business/industry in the country was nationalised by the Government of India in 1956 and a fully government-owned company, the Life Insurance Corporation of India (LIC) was set up (at that time 245 Indian and foreign companies were playing in the life segment of insurance). Opening of private life insurance companies was prohibited at the same that time. The LIC was called an investment institution by the government.

The nationalisation was motivated by twin objectives—*first*, to spread the message of life insurance for greater social security and *secondly,* to mobilise people's savings (collected as premiums) for nation building. The LIC had been the biggest investor in the government's procces of planned development purchasing government securities (G-Secs.) and equities of the big asset public sector undertaking (PSUs).

The market share of these insurers was 68.84 per cent and 31.16 per cent respectively in the corresponding period of 2010-11 *(Economic Survey 2012-13).*

GIC

In 1971, the Government nationalised the private sector companies (107 Indian and foreign companies) playing in the general insurance segment and a government company the General Insurance Corporation of India